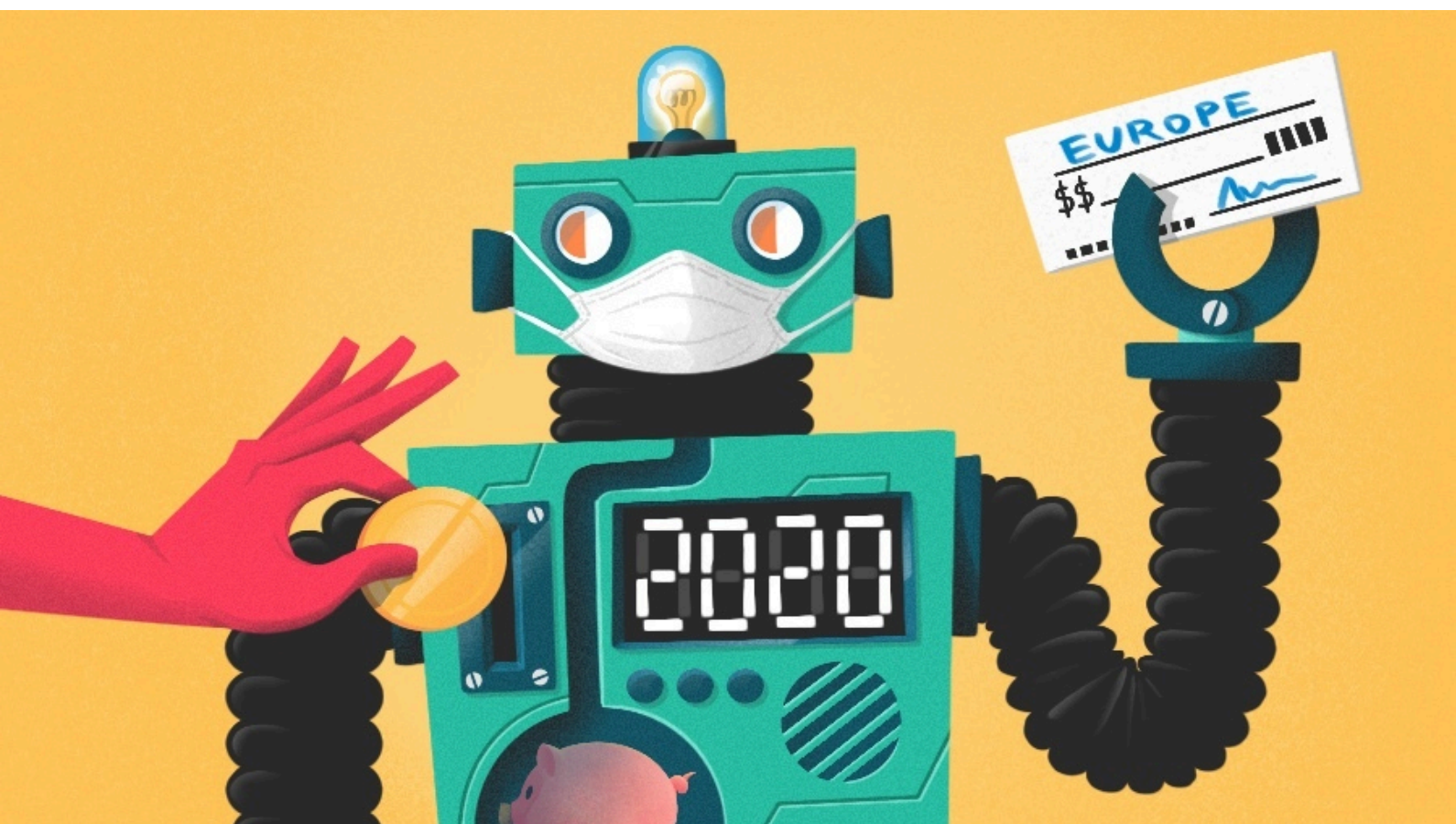


European VC Report 2020: Strong Fourth Quarter Closes Out 2020

Gené Teare January 21, 2021



Gené Teare
@geneteare

The European venture markets held up in 2020, despite the slowdown in funding in response to the pandemic in the first quarter and leading into the second quarter of 2020, according to Crunchbase data. Funding to European startups last year totaled \$40 billion, down a mere 4 percent from 2019 at \$41.8 billion. This marks the second-highest funding amount by year into European startups over the past decade.

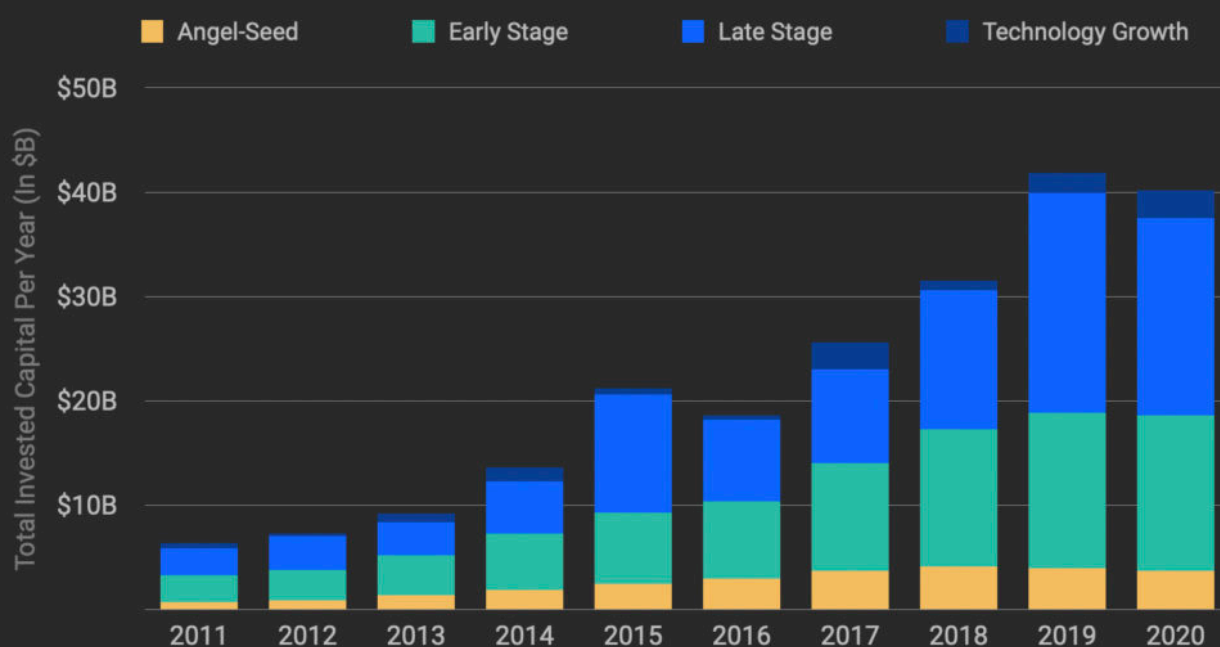
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European Venture Dollar Volume through 2011 to 2020



Overall Dollar Volume

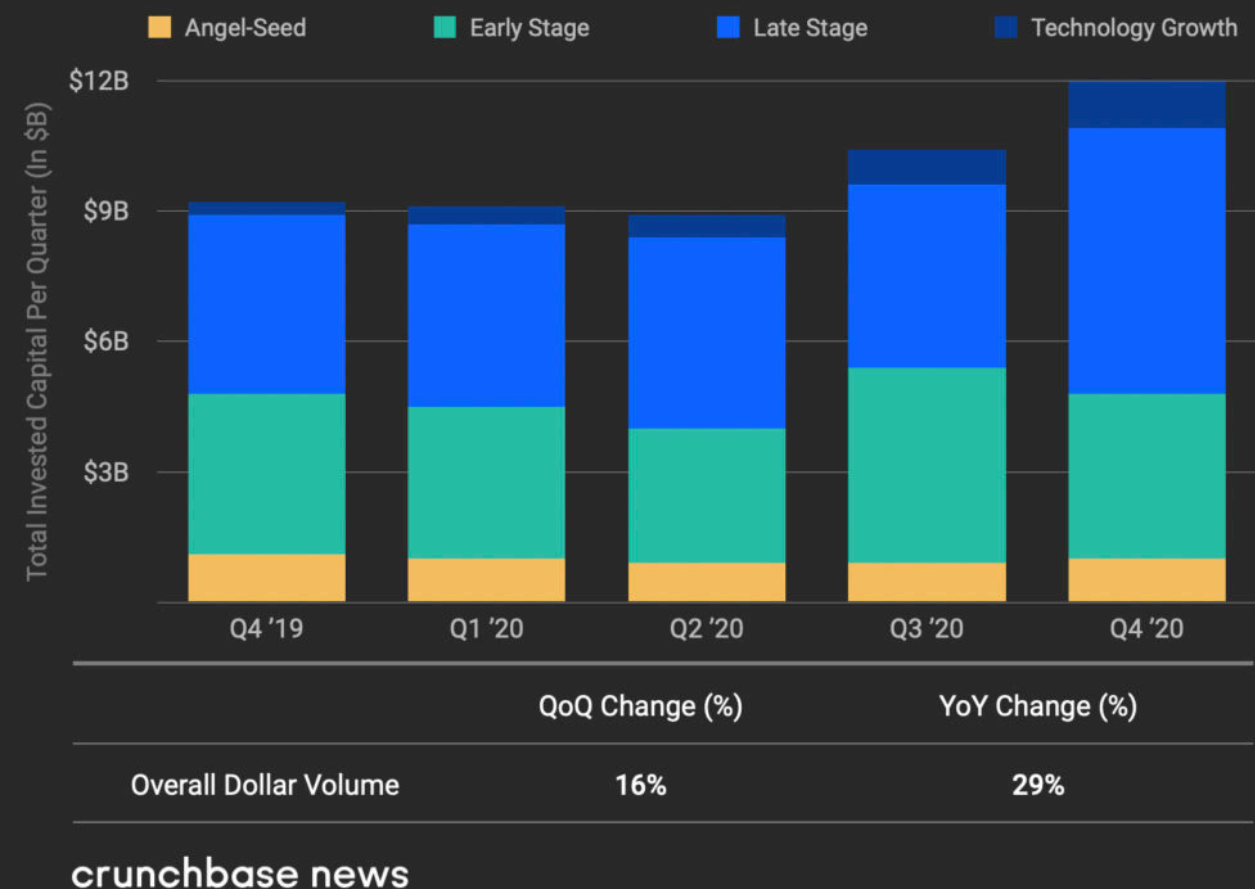
YoY Change

-4%

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The funding pace picked up in the fourth quarter, typically a slower funding period, when VC to European startups totaled \$11.8 billion — the strongest quarter over the past two years. Europe's late-stage venture funding peaked in the fourth quarter.

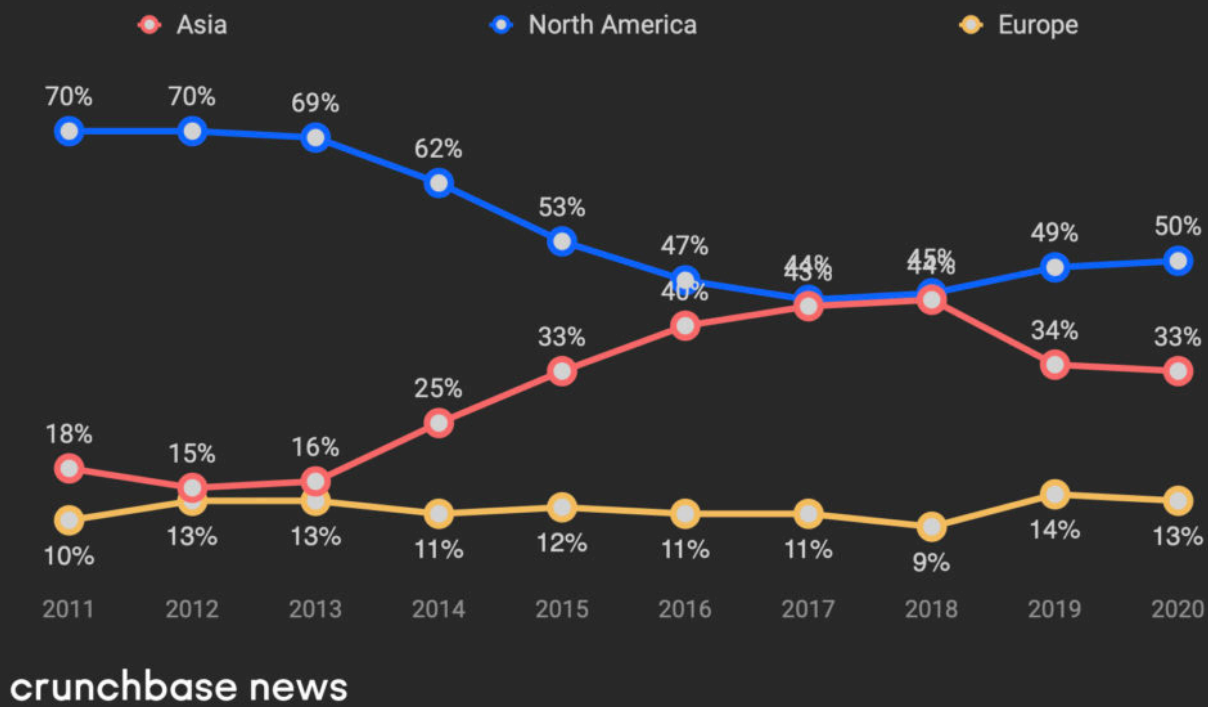
European Venture Dollar Volume through Q4 2020



Global funding comparison

Venture capital raised by European startups represented 13 percent of [global funding](#) in 2020. Both Europe and the United States have gained share in the past few years as funding in China was down [significantly in 2019](#). *(Note, this 13 percent does not include European startups now headquartered in the U.S. with operations and development teams in their country of origin.)*

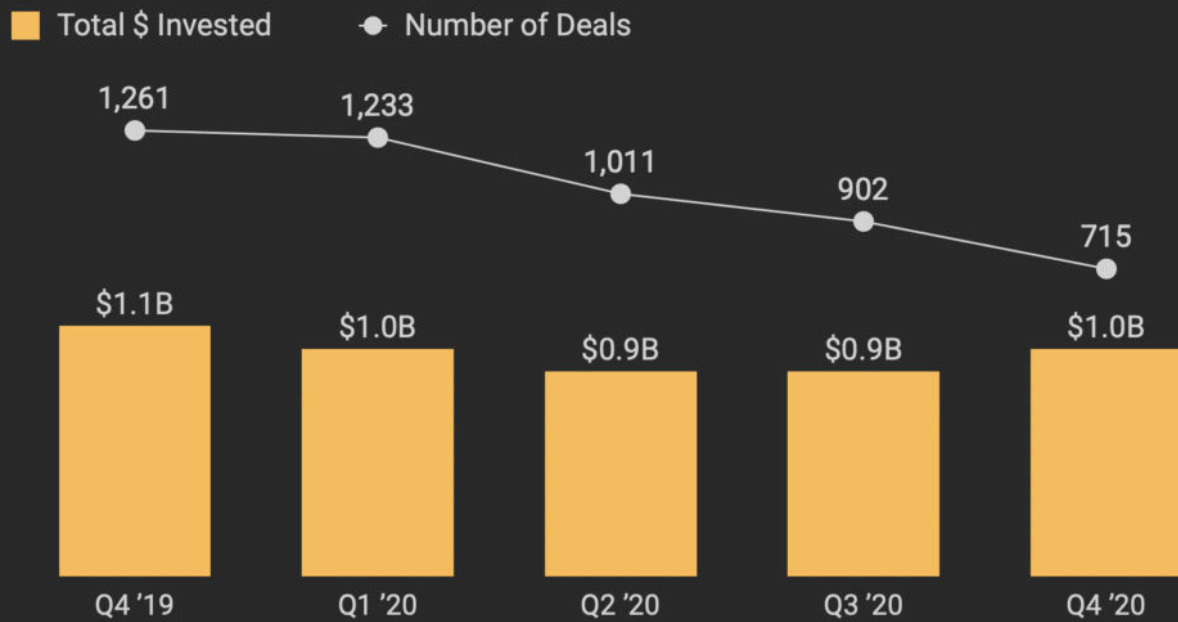
Percentage of Venture Capital to Europe, Asia and North America



Funding by stage

Seed funding to European startups has hovered around \$1 billion per quarter since the beginning of 2019. During 2020 more than 3,500 unique companies raised funding at the seed stage totaling \$3.7 billion compared with \$4 billion for 2019. *(Note, funding counts will likely increase as more seed fundings are recorded retroactively after the end of the quarter.)*

European Seed & Angel Investment through Q4 2020



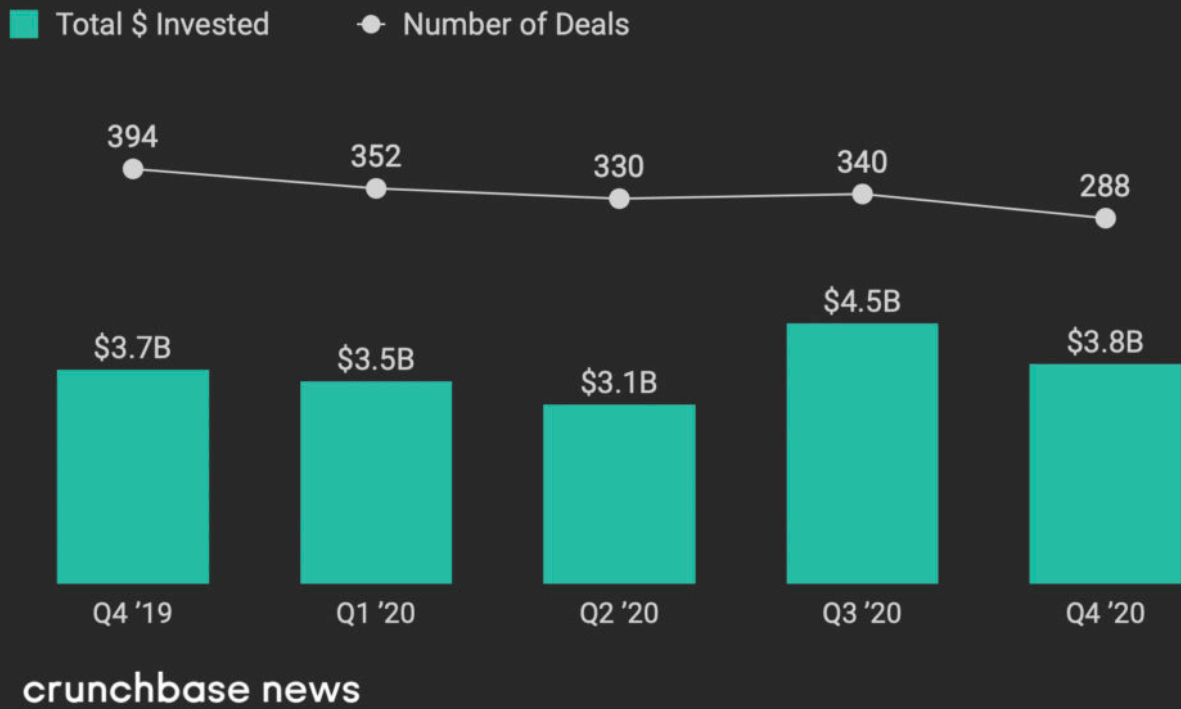
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Crunchbase data shows European startups raised \$3.8 billion in early-stage funding during the fourth quarter, down from the third quarter. Comparing quarters for early venture funding over the last two years, the second quarter is the lowest at \$3.1 billion and the third quarter tracks the highest at \$4.5 billion.

All told, more than 1,200 European companies raised funding at the early-venture stage in 2020 at \$14.9 billion, the same amount raised in 2019.

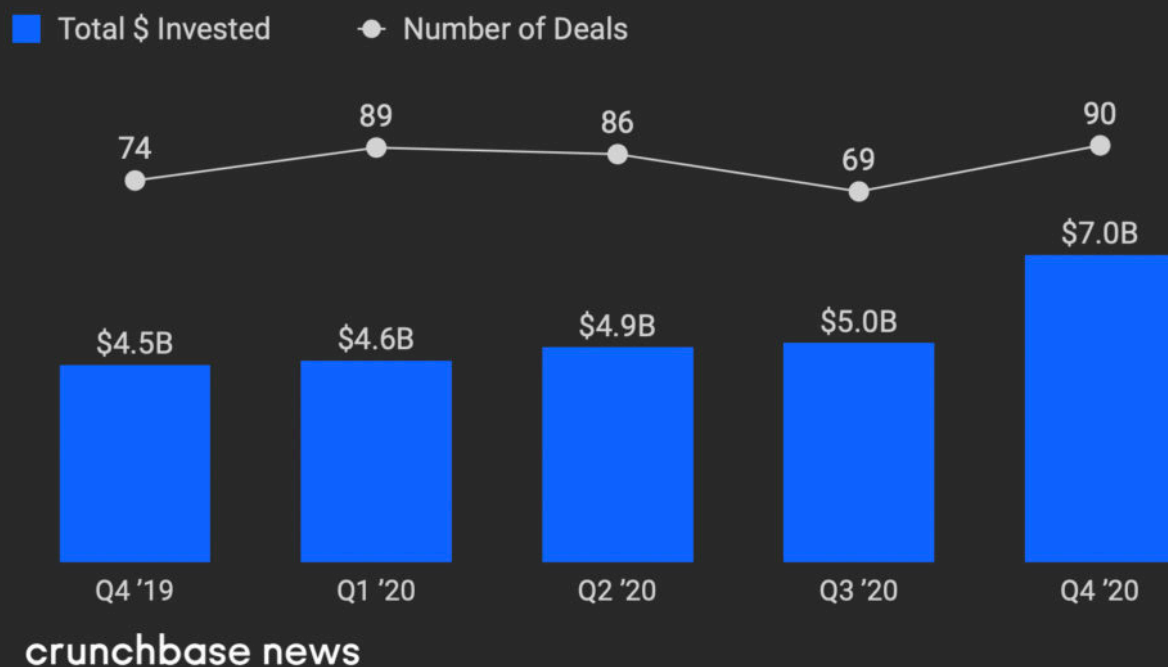
(Early-stage funding includes Series A and B rounds as well as funding between \$3 million and \$15 million without a designated series.)

European Early-Stage Investment through Q4 2020



Late-stage and technology-growth funding grew in the fourth quarter by 41 percent quarter over quarter, representing a peak funding quarter over the past two years. More than 300 European companies raised late-stage funding in 2020 of \$21.4 billion, down 6 percent from 2019 at \$22.9 billion.

European Late-Stage and Technology Growth Investment through Q4 2020



Large fundings

In 2020, 14 European companies joined the [European unicorn board](#) , which now lists 74 companies. Newly listed unicorns in 2020 include [Arrival](#), valued at \$3.3 billion, and [MessageBird](#), valued at \$3 billion. [Cazoo](#), [Hopin](#), [Octopus Energy](#) and [Oatly](#) also joined and are each valued at or above \$2 billion.

The pace of funding rounds of \$100 million and above increased in the fourth quarter of 2020, with 23 companies raising rounds at that mark. In the third quarter, [20 companies](#) raised rounds above \$100 million. The transportation, energy and fintech sectors led in late-stage funding.

European Rounds above \$100 Million in Q4 2020

Country	Company	Sector	Round Size (\$M)
United Kingdom	Arrival	Electric vehicle	\$518
	G.Network	Telecommunications	\$403
	Molo	Mortgage	\$346
	Cazoo	Online car marketplace	\$309
	Octopus Energy	Energy	\$247
	Graphcore	Semiconductor	\$222
	Zenobe Energy	Battery storage	\$198
	SaltPay	Merchant payments	\$150
	Hopin	Virtual events	\$125
	Oxford Nanopore Technologies	Biotechnology	\$109
Germany	TIER Mobility	Electric scooter	\$250
	GetYourGuide	Booking platform	\$133
	Spryker Systems	Payments technology	\$130
	SellerX	E-commerce	\$118
The Netherlands	MessageBird	Cloud communications	\$200
	Catawiki	Collectibles marketplace	\$182
Sweden	VOI Technology	Electric scooter	\$160
	Tink	Fintech	\$103
Estonia	Bolt	Transportation	\$183
Finland	Kodit.io	Real estate platform	\$117
Italy	Satispay	Mobile payment	\$110
Switzerland	VectivBio	Biotechnology	\$110

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By country

Despite concerns over Brexit, the United Kingdom raised 37 percent of European funding in 2020, coming in at \$14.9 billion. Germany, France and Sweden were the next three leading markets, raising a total \$14.3 billion in funding in 2020, although that was down slightly from \$14.9 billion in 2019.

Other European countries raising more than \$1 billion in funding in 2020 included Switzerland, Netherlands, and — for the first time — Denmark and Finland. Countries close to the \$1 billion mark in funding include Belgium

and Spain. Leading cities by investment totals include London, Paris, Berlin, Stockholm, Copenhagen, Amsterdam, Oxford, Helsinki and Munich.

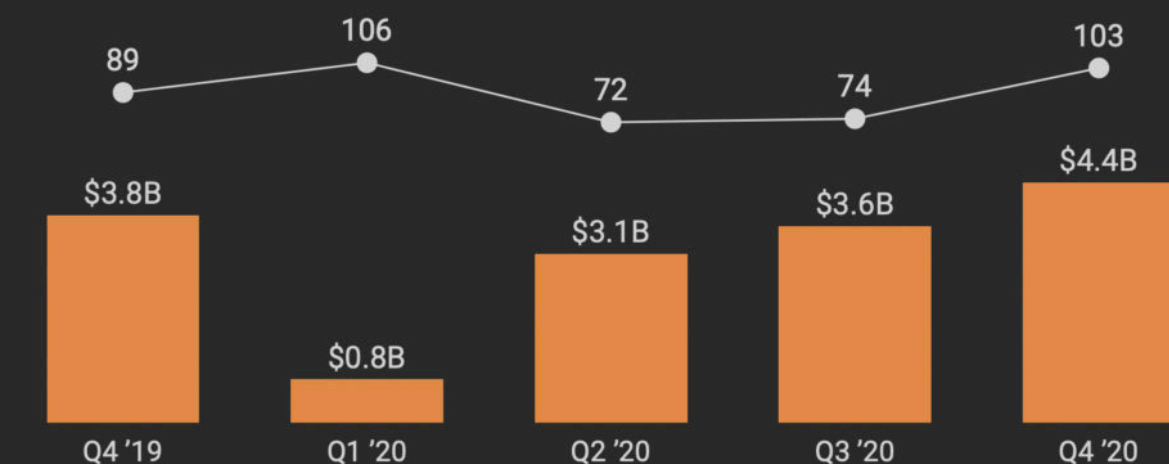
Exits

Mergers and acquisitions of venture-backed European startups totaled \$11.8 billion in 2020, up 9 percent from 2019 when M&A activity totaled \$10.9 billion. The largest exits in the fourth quarter include biotech company [NBE-Therapeutics](#), a developer of cancer therapies that was acquired by [Boehringer Ingelheim](#) for \$1.2 billion. On-demand beverage delivery company [flaschenpost SE](#) was acquired by [Dr.Oetker](#) for \$1 billion, and cloud communication company [Voxbone](#) was acquired by [Bandwidth](#) for \$527 million.

Acquisitions of Venture-backed Companies in Europe

Excludes M&A for companies that previously went public. Amounts included for deals with reported transaction values.

■ Total Exit \$ Volume ● Number of Deals



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In conclusion

European funding in 2020 came close to the funding peak of 2019. Exits were up, though not massively, in 2020, in contrast to the [U.S. markets](#).

All in all, the story of venture investment in Europe over the last decade is one of massive growth: Funding to the continent at the start of the most recent decade totaled \$6.5 billion, per Crunchbase data. By the close of the decade, that number had grown more than sixfold to \$40 billion with eight countries each raising more than \$1 billion in 2020.

Methodology

The data contained in this report comes directly from Crunchbase, and is based on reported data. Data reported is as of Jan. 13, 2020.

Note that data lags are most pronounced at the earliest stages of venture activity, with seed funding amounts increasing significantly after the end of a quarter/year.

The most recent quarter/year will increase over time relative to previous timelines. For funding counts, we notice a strong data lag, especially at the seed and early stages, by as much as 26 percent to 41 percent a year out.

Please note that all funding values are given in U.S. dollars unless otherwise noted. Crunchbase converts foreign currencies to U.S. dollars at the prevailing spot rate from the date funding rounds, acquisitions, IPOs and other financial events are reported. Even if those events were added to Crunchbase long after the event was announced, foreign currency transactions are converted at the historic spot price.

For M&A transaction analysis, we include venture-backed companies and exclude companies that previously went public.

Glossary of funding terms

Seed and angel consists of seed, pre-seed and angel rounds. Crunchbase also includes venture rounds of unknown series, equity crowdfunding and convertible notes at \$3 million (USD or as-converted USD equivalent) or less.

Early-stage consists of Series A and Series B rounds, as well as other round types. Crunchbase includes venture rounds of unknown series, corporate venture and other rounds above \$3 million, and those less than or equal to \$15 million.

Late-stage consists of Series C, Series D, Series E and later-lettered venture rounds following the “Series [Letter]” naming convention. Also included are venture rounds of unknown series, corporate venture and other rounds above \$15 million.

Technology growth is a private-equity round raised by a company that has previously raised a “venture” round. (So basically, any round from the previously defined stages.)

Illustration: [Dom Guzman](#)

